

and ends with “Vroom vroom, beep beep, big tractor, here I come!”

Then many grow up and realize that driving a tractor maybe isn’t the best career. Maybe they want something more prestigious or lucrative.

So as a teenager they dream of being a lawyer. Now they think—they *know*—their plan is set. Law school and its costs, here we come.

Then, as a lawyer, they face such long working hours that they rarely see their families.

So perhaps they take a lower-paying job with flexible hours. Then they realize that childcare is so expensive that it consumes most of their paycheck, and they opt to be a stay-at-home parent. This, they conclude, is finally the right choice.

Then, at age 70, they realize that a lifetime of staying home means they’re unprepared to afford retirement.

Many of us wind through life on a similar trajectory. Only 27% of college grads have a job related to their major, according to the Federal Reserve.⁴⁶ Twenty-nine percent of stay-at-home parents have a college degree.⁴⁷ Few likely regret their education, of course. But we should acknowledge that a new parent in their 30s may think about life goals in a way their 18-year-old self making career goals would never imagine.

Long-term financial planning is essential. But things change—both the world around you, and your own goals and desires. It is one thing to say, “We don’t know what the future holds.” It’s another to admit that you, yourself, don’t know today what you will even want in the future. And the truth is, few of us do. It’s hard to make enduring long-term decisions when your view of what you’ll want in the future is likely to shift.

The End of History Illusion is what psychologists call the tendency for people to be keenly aware of how much they’ve changed in the past, but to underestimate how much their personalities, desires, and goals are likely to change in the future. Harvard psychologist Daniel Gilbert once said:

At every stage of our lives we make decisions that will profoundly influence the lives of the people we’re going to become, and then when we become those people, we’re not always thrilled with the decisions we made. So young people pay good money to get tattoos removed that teenagers paid good money to get. Middle-aged people rushed to divorce people who young adults rushed to marry. Older adults work hard to lose what middle-aged adults worked hard to gain. On and on and on.⁴⁸